Career Effects of Online Social Network Access at Labor Market Entry*

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May 13, 2026

Abstract

Does access to online social networking platforms at labor market entry affect young workers' careers? Exploiting the staggered introduction of Facebook across U.S. colleges in a generalized difference-in-differences design, I estimate the causal impact of Facebook access before vs. after labor market entry on the career trajectories of U.S. business and economics students. Using detailed resume data from nearly 900,000 public LinkedIn profiles, I find that students with early access to Facebook are more likely to receive early-career promotions, work in higher-paying jobs, and reach senior leadership roles in their mid-30s to early 40s. I provide evidence that the long-run career effects can be explained by (i) a smoother college-to-work transition, driven by college peers helping each other in the early-career job search process, (ii) early-career sorting into higher-quality and career-supporting firms, and (iii) improved early-career worker-firm match quality, enabling students to accumulate more firm-specific human capital and climb up the career ladder within their organizations. The results highlight how access to online social networks during a sensitive period of a young worker's career can facilitate the college-to-work transition, reduce information frictions, and generate long-run career benefits.

Keywords: Online Social Networks, Facebook, College Graduates, Labor Market Entry, Career Development, Leadership, Management, Firms, Networking

JEL Codes: D83, I26, J24, J30, J61, J62, L86

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*I thank Ludger Woessmann, Ingrid Haegele, Joseph Altonji, Alexey Makarin, Lisa Simon, and participants at the ifo Center for the Economics of Education, the Munich Brown Bag seminar, the ifo Big Data seminar, the Yale labor seminar, the MIT Organizational Economics seminar, and COPE 2026 for their helpful comments. I am grateful to Alexander Krieg, Pankraz Trauner, and Severin Bayer for excellent research assistance. This work was supported by a scholarship from the German Academic Exchange Service (DAAD).

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